Table 65.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Calculate the height of the triangle by subtracting the highest high from the lowest low. For downward breakouts, subtract the height from the value of the lower trendline. For upward breakouts, add the height to the price where it pierces the top trendline. Alternatively, draw a line parallel with the down-sloping trendline starting at the lower-left corner of the triangle. The value of this line *the day price breaks out of the triangle* becomes the downward breakout target price. The bottom portion of the table shows how often the measure rule works.
Wait for breakout	Since the breakout direction is unknown, always wait for the breakout to occur. After a downward breakout, sell short immediately or after price pulls back to the triangle base and starts moving down again. Another way to play the triangle is to wait for an *upward* breakout, then *buy* the stock.
Cover on support	For short-term traders, cover your short positions when price finds support.
Stop location	See Table 65.7 for guidance.
Busted trade	Trade downward breakouts in bull markets that (single) bust.
Apex Turning	When price reaches the date of the apex, expect a minor high or low to appear. It might become a major turning point for the stock.

Description	Bull Market, Up Breakout	Bear Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
Percentage reaching half height target	77%	63%	74%	72%